

FIGURE 3-2

HOW MUCH YOU'LL PAY EACH MONTH WITH AN AUTO LOAN

This table can help you get a sense of what your monthly car payments will be, given a specific term and interest rate on a \$24,000 auto loan. Although your monthly payments are lower with a longer-term loan, the total amount you'll pay is higher. To figure out the total cost of the car loan, multiply the monthly figure by the number of months it will take you to pay it off. So, for example, if you're paying 9% on a five-year loan (currently the national average), you can expect to pay about \$498 every month, adding up to \$29,892 over the course of five years.

	INTEREST RATE									
	3%	4%	5%	6%	7%	8%	9%	10%	11%	
24 Term (Months)	\$1,032	\$1,042	\$1,053	\$1,064	\$1,075	\$1,085	\$1,096	\$1,107	\$1,119	
36	698	709	719	730	741	752	763	774	786	
48	531	542	553	564	575	586	597	609	620	
60	431	442	453	464	475	487	498	509	522	
72	365	375	387	398	409	421	433	445	457	

- **Weigh low-rate vs. rebate.** If you're lucky enough to qualify for a really good car loan, you may have a choice between taking the loan and getting a cash rebate; do the math to see which deal makes the most sense. There are good calculators available on the Kiplinger's website (www.kiplinger.com/links/carincentive). Don't get seduced by advertisements touting 0% financing; you need a very high credit score to qualify.
- **Consider buying a used car.** Buying a used car in good running condition can cost about half as much as a new car on average. That means that your auto loan will be half as expensive. And although there are some risks in terms of quality control, you can minimize these, especially if you